

China's Tech Leadership: Our 10 Best Charts

Kimi K3 sharpens investor focus on China's tech rise, a theme we've flagged since 2025 ([here](#), [here](#) & [here](#)). This note shares our 10 best charts. **KTs: 1)** 9 of top 10 research institutions Chinese; **2)** ~47% of top papers vs. US ~9%; **3)** R&D passed US; **4)** #1 in patents; **5)** DeepSeek tops OpenRouter; **6)** import reliance falling; **7)** leads defense tech; **8)** ~12x US clean tech capex; **9)** near-peer in AI, biotech, semis, space, quantum; **10)** #2 gov't space spender.

We view Chinese tech disruption as structural, not cyclical. Telecoms, autos, and AI mark early innings. We encourage investors to assess the impact on Western equities and consider direct China tech exposure.

1) China Leads the World's Highest-Impact Research Institutions. The Nature Index 2026 ranks nine Chinese institutions in the global top 10, with CAS at #1 and Zhejiang University displacing Harvard as the top academic institution.

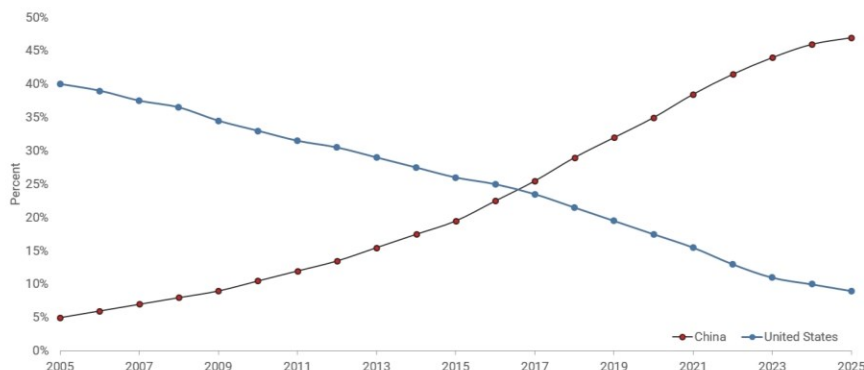
Nature Index: 2026 Research Leaders

Position	Institution	Country
1	Chinese Academy of Sciences (CAS)	China
2	Zhejiang University (ZJU)	China
3	Harvard University	US
4	Tsinghua University	China
5	Shanghai Jiao Tong University (SJTU)	China
6	University of Science and Technology of China (USTC)	China
7	Peking University (China)	China
8	University of Chinese Academy of Sciences (UCAS)	China
9	Nanjing University (NJU)	China
10	Sichuan University (SCU)	China

Source: The Nature Index; Jefferies.

2) China Has Overtaken the U.S. in High-Impact Research Across Critical Technologies. ASPI's Critical Technology Tracker shows China's share of top-10% most-cited publications rose from ~5% in 2005 to ~47% in 2025, while the U.S. share fell from ~40% to ~9%.

Publication rates for top 10% of publications (Percent)



Source: Australian Strategic Policy Institute

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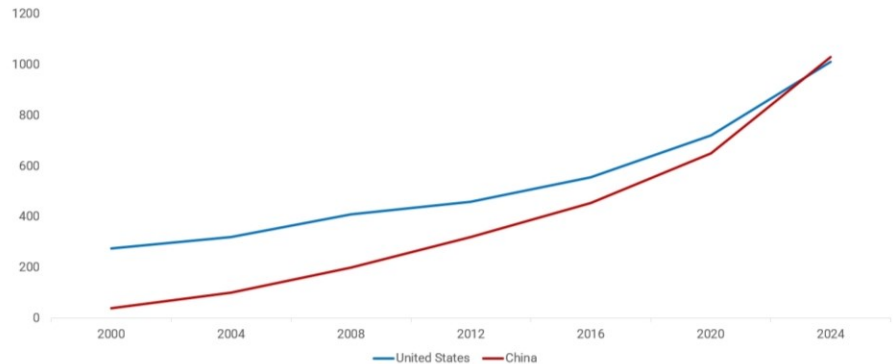
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3) China Has Overtaken the U.S. in Gross R&D Spending on a PPP Basis. ITIF estimates China's PPP-adjusted R&D expenditure reached ~\$1030bn in 2024, edging past the U.S. at ~\$1010bn. China's real R&D spending has grown >12% annually since 2004—over 3x the U.S. pace.

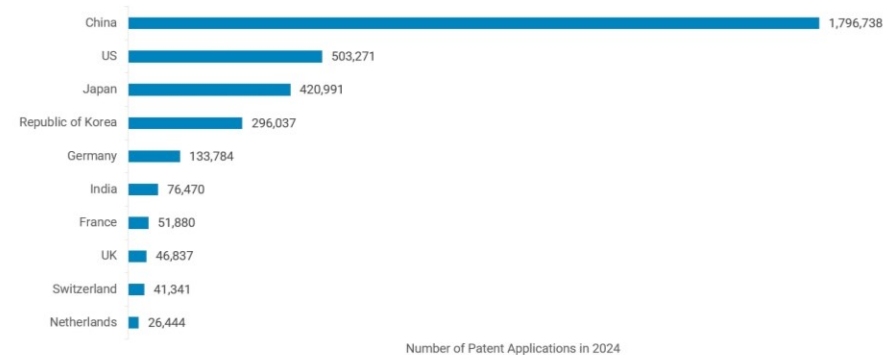
Gross R&D expenditure, PPP-adjusted (\$bn)



Source: OECD, Information Technology and Innovation Foundation.

4) China Files More Patents Than the Rest of the Top 10 Combined. WIPO data show China filed 1.80 million patent applications in 2024—3.6x the U.S. (503K), 4.3x Japan (421K), and more than the next nine countries combined.

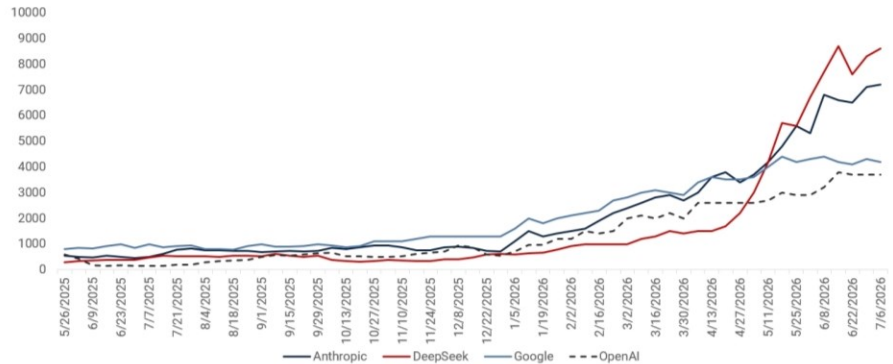
Number of Patent Applications, 2024



Source: World Intellectual Property Organization

5) DeepSeek Overtakes U.S. Frontier Labs in Usage on OpenRouter. DeepSeek’s normalized token volume on OpenRouter rose from near-zero in early 2025 to ~8,600 by July 2026, surpassing U.S. frontier models.

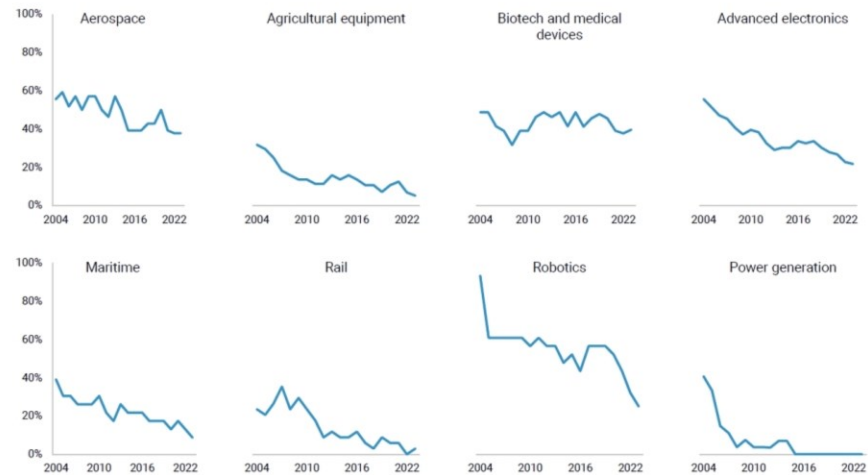
Normalized Token Usage, May 2025 – July 2026



Source: OpenRouter, Jefferies.

6) China Is Rapidly Closing Import Dependence in Strategic Sectors. Rhodium data show the share of subsectors where China imports 2x+ what it exports has collapsed across eight strategic industries since 2004—including aerospace, advanced electronics, robotics, and power.

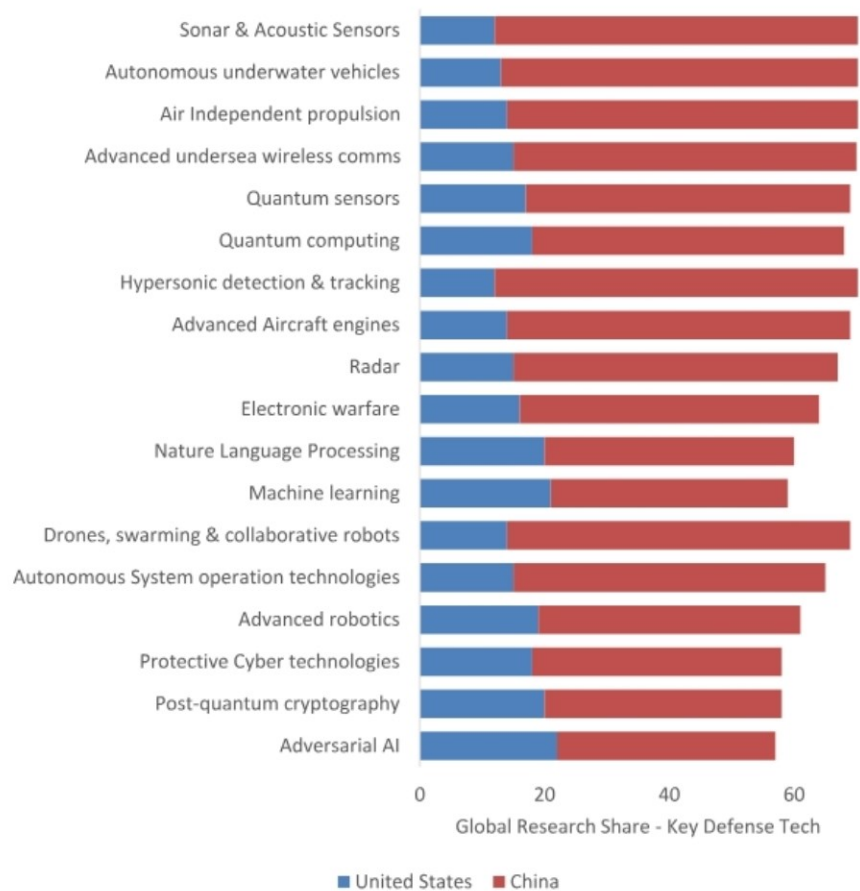
Share of Key Sectors Where China Imports Twice as Much as It Exports (Percent)



Source: ICT, Comtrade, Rhodium Group.

7) China Leads the U.S. in Research Across Nearly Every Key Defense Technology. ASPI data show China outpaces the U.S. in global research share across 18 defense-critical fields, including hypersonics, quantum computing, autonomous undersea vehicles, drone, and electronic warfare.

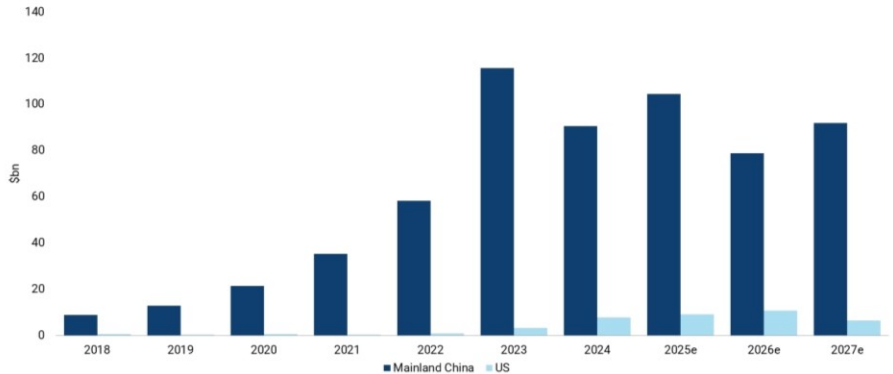
Research share across a range of key defense technologies (U.S. vs. China)



Source: Australian Strategic Policy Institute

8) China Dominates Clean Tech Factory Investment. BloombergNEF data show Mainland China's clean tech factory capex reached ~\$104bn in 2025e vs. ~\$9bn in the U.S.—a ~12x gap. Chinese investment has averaged ~\$95bn/year since 2023, while U.S. spend remains in the single-digit billions through 2027e.

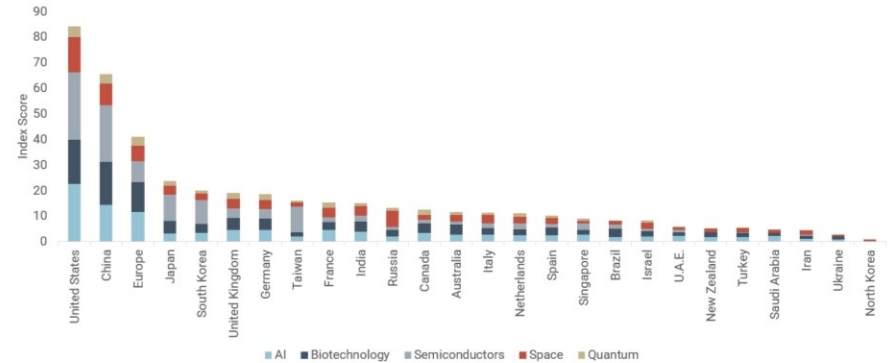
Clean Tech Factory Investment by Geography



Source: BloombergNEF; Jefferies.

9) China Is the Only Serious Challenger to U.S. Tech Power Across All Five Frontier Sectors. The Belfer Center's 2025 Critical and Emerging Technologies Index scores the U.S. at ~84 and China at ~65 across AI, biotech, semiconductors, space, and quantum—far ahead of Europe (~42) and Japan (~24).

Critical and Emerging Technologies Index, 2025

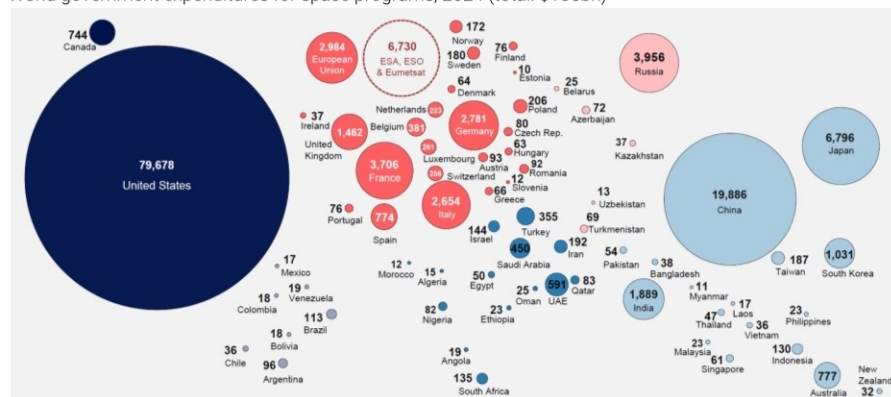


Source: Critical and Emerging Technology Index, Belfer Center for Science and International Affairs

10) China Is Now the World's #2 Government Space Spender, Well Ahead of Europe and Russia.

Novaspace data show China's 2024 [government space spending](#) reached ~\$19.9bn—second only to the U.S. (\$79.7bn) and roughly 3x Japan (\$6.8bn), the EU/ESA bloc (~\$6.7bn), and Russia (~\$4.0bn). China is now the only credible near-peer in state-backed space capacity.

World government expenditures for space programs, 2024 (total: \$135bn)



Source: Novaspace

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